M.P. Power Trading Co. Ltd. vs Central Electricity Regulatory ... on 27 April, 2007

Equivalent citations: 2007ELR(APTEL)49

ORDER

A.A. Khan (T) and Manju Goel (J), Members

1. Heard.

2. The present appeal is directed against the Order dated 27th September, 2006, in Petition No. 94 of 2002 passed by the Central Electricity Regulatory Commission, the Respondent No. 1 herein, by which the Respondent No. 1 has re-determined the O&M charges for the period from 1st April, 2000 to 31st March, 2001, consequent upon the direction of this Tribunal vide Order dated 14th July, 2006.

3. The Respondent No. 2 NTPC filed Petition No. 77 of 2000 for approval of revised fixed charges due to additional capitalization in respect of Gandhar Gas Power Station for the period from 1997-1998 to 2000-2001. The Respondent No. 1 vide Order dated 10th April, 2002, directed NTPC to file fresh Petition for determination of Tariff for various generating stations for the period from 1st April, 2000 to 31st March, 2001 based on the terms and conditions earlier decided by the Central Government. NTPC accordingly filed Petition No. 94 of 2002 for approval of Tariff for Gandhar Gas Power Station for the period for 1st April, 2000 to 31st March, 2001. NTPC claimed O&M expenses for the financial year 1st April, 2000 to 31st March, 2001 based on actual expenses incurred during the same period which worked out to 2,654 lacs. NTPC, however, amended the Petition No. 94 of 2002 and claimed O&M expenses on the basis of previous year's (i.e. 1999-2000) actual expense escalated by 10 per cent following the decision of the Central Commission in the Order passed in the case of other generating stations. The CERC rejected NTPC's claim for O&M expenses based on actual expenses of the preceding year (1999-2000) escalated by 10 per cent and allowed O&M expenses based on actual expenses for the period of 1st April, 2000 to 31st March, 2001. NTPC filed an appeal bearing No. 94 of 2005 before this Tribunal against this said Order of the CERC. This Tribunal allowed the appeal and remitted the matter to CERC for determining the O&M expenses of the Gandhar Gas Power Station on the basis of formula based on escalation factor. The Central Commission thereafter issued the impugned Order dated 27th September, 2006. The part of the Order which is in issue is as under:

> O&M expenses:
>
> 9. The Petitioner had claimed O&M expenses of Rs. 5627 lacs based on the actual O&M expenses of Rs. 5115 lacs for the year 1999-2000, and escalating those at the rate of 10 per cent. The Petitioner's claim in this regard has been upheld by the Appellate Tribunal. Accordingly, the claim of the Petitioner is accepted and an

amount of Rs. 5627 lacs is allowed on account of O&M expenses for the year 2000-2001.

4. The Order is challenged on the plea that the CERC has made a mistake in the implementation of this Tribunal's Order in as much as the CERC was required to apply escalation as has been applied by the Government of India in Notification dated 28th April, 1997 which is the basis of escalation factor. Appearing for the Appellant, Mr. Sakesh Kumar, drew our attention to the Notification dated 28th April, 1997 which was communicated with a covering letter of the same date. The letter is extracted below:

New Delhi Dated: 28th April, 1997 To, As per list enclosed Subject: Terms and Conditions and Tariff of power supplied from Gandhar Gas Power Station (657.39 mW). Sir,

1. The Tariff Notification for power generated and supplied from the above mentioned Power Station of the National Thermal Power Corporation (NTPC) at Gandhar is enclosed. This Notification is being issued under Section 43A(2) of the Electricity (Supply) Act, 1948.

2. The fixed charges have been determined based on the amounts capitalized in the accounts of NTPC up to 31st March, 1996.

3. The Tariff determined would have effect from 17th March, 1994 (i.e. date of synchronization of GT-I) and shall remain in force till 31st March, 2000.

Yours faithfully, (B.K. Misra) OSD-TARIFF Encl: a/a

5. Mr. Sakesh Kumar contends that since by this Notification the escalation factor for the year 1997-98 the fixed charges has been determined on the basis of the amount capitalised in the accounts of NTPC up to 31st March, 1996, the escalation factor will have to be based on the actual cost of the year prior to the previous year and not of the previous year. This interpretation of the Notification dated 28th April, 1997 is not agreed to by Mr. M.G. Ramachandran appearing for NTPC. Mr. Sakesh Kumar is unable to give any logic behind taking the actual cost for the year prior to the previous year rather than actual cost of the previous year for applying the escalation factor. The letter extracted above does not actually lay down the type of formula which Mr. Sakesh Kumar wants to read into it. Since, the Notification was issued on 28th April, 1997 it can be well expected that the accounts of NTPC up to the end of financial year i.e., (31st March, 1997) had not been finalised and therefore, the latest figures available with the Government for determining the fixed charges was only of 31st March, 1996. This position is further clarified when the enclosure i.e., the Notification is read carefully. In the Notification the Clause regarding the fixed charges is as under:

2. Payment of Fixed Charges:

The fixed charges as per Clause 1 (a) above shall be paid by the beneficiaries to NTPC each month in accordance with the following formula:

Each beneficiary will pay:

Fixed Charges = FC/12 × EB/ES Where, FC = Annual Fixed Charges payable by beneficiaries at 220 kV/400kV bus bar of GPS as indicated in Clause 1(a) above.

EB = Monthly energy sale from GPS at 220kV/400kV bus bar of GPS to each beneficiary individually as per Regional Energy Account.

ES = Total monthly energy sale from GPS at 220kV/400kV bus bar of GPS.

The fixed charges referred to in Clause 1(a) and 2 above have been determined based on the amounts capitalised in the accounts up to 31st March, 1996. The impact of additional capital expenditure capitalised in each financial year during the Tariff period shall be determined by Central Government immediately on finalisation of accounts.

(emphasised supplied)

6. According to Mr. Sakesh Kumar, for the year 1st April, 2000 to 31st March, 2001, the actual O&M expenses for the year to be taken should have been of the year 1998-99 rather than of the year 1999-2000. There is no rationale for such submission. As soon as the finalised accounts are available of the immediately preceding year the escalation factor has to be adopted on the basis of O&M expenses of the immediately preceding year.

7. It appears to us that the objection to the mode of application of escalation factor adopted by the Respondent No. 1 is misconceived.

The appeal is accordingly, dismissed.